

Understanding How Bonds Work

Before we can discuss bonds in depth, it is important that we establish a common understanding of what bonds are and how they work. As a starting point, a bond is a contractual obligation to make a series of specific payments on specific dates. Typically, this includes interest payments made on a semiannual basis until the maturity date and the return of the bond's face value. Bonds are issued by both governments and private corporations to raise funds, and they are purchased by investors seeking an investment return on their capital.

Treasuries are issued by the US government. Technically, Treasuries with maturities of a year or less are called "bills," while those with maturities of more than a year up to ten years are called "notes." "Bonds" typically refers to Treasuries with maturities of more than ten years. In my discussion, I will use the term "bond" generically to represent all of these cases. Bank CDs also function as a type of bond in terms of providing specified cash flows at specified dates, though they are not traded on secondary markets.

Bond interest rates—both coupon rates and the yields subsequently provided to investors—are determined by the interaction of supply and demand for the bonds as they continue to be traded. An increase in demand—such as that triggered by a "flight to quality" when investors are panicked by the falling prices of risky assets—will push up the price of these bonds. Conversely, a stretched government seeking to raise funds through an increasing supply of new bond issues will reduce the price of bonds.

Newly issued bonds are sold on the primary market, but many go on to be traded on secondary markets. A bond that sells at par value can be purchased for the same price as its face value. Bonds may also sell at a premium (higher than face value) or discount (lower than face value). Bond prices are quoted in terms of bid and ask prices. *Bid* is the price the bond can be sold for, and *ask* is the price at which it can be purchased. The difference in prices is the spread made by the party helping conduct the exchanges between buyers and sellers. Household investors will experience lower bid and higher ask prices than reported in newspapers, because the